ii. Five whole-time Members (Not 5 years and Maximum Age – 62)

iii. Four part-time Members (Not more than 5 years)

iv. The chairman and members of IRDA are appointed by ;the Government of India

Objectives of IRDAI

1. To promote the interest and rights of policy holders.

2. To promote and ensure the growth of Insurance Industry.

3. To ensure speedy settlement of genuine claims and to prevent frauds and malpractices

4. To bring transparency and orderly conduct in financial markets dealing with insurance.

Section 14 of IRDAI Act, 1999 lays down the duties and functions of IRDAI:

i. It issues the registration certificates to Insurance Companies and regulates them.

ii. It provides license to insurance to intermediaries such as agents and brokers after specifying the required qualifications and set norms/code of conduct for them.

iii. It promotes and regulates the professional organizations related with insurance business to promote efficiency in insurance sector

iv. It regulates and supervises the premium rates and terms of insurance covers.

v. It specifies the conditions and manners, according to which the insurance companies and other intermediaries have to make their financial reports.

vi. It regulates the investment of policyholder's funds by insurance companies.

vii. It also ensures the maintenance of solvency margin (company's ability to pay out claims) by insurance companies.

Key Terms

utmost good faith, Indemnity, Causa Proxima, Subrogation, Mitigation, Surrender value

Student Activity

a) Sanjana insured her factory for ₹5 Lakh against fire. Due to fire she suffered a loss of ₹2 lakh. How much amount she can recover from the insurance company? Why?

b) A factory owner gets his stock of goods insured, but he hides the fact the electricity board has issued him a statutory warning letter to get his factory's wiring changed. Later on, the factory catches fire due to short circuit of wiring. Can he claim compensation?

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